

Meta Platforms Q4 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Meta Platforms, Inc. (META)
Report	Q4 2025
Release date	Wednesday 28 January 2026, after close
Earnings call	4:30pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 28 January 2026
Read mode	transcript and news only
Time to produce	65 minutes

Source material (read this first)

Headline financials

- Revenue \$58.9B, up 25% year over year, near the top of the guide.
- Family of Apps ad revenue \$58.1B, up 24%. Reality Labs \$955M, down 12%.
- Daily active people above 3.5B. Free cash flow \$14.1B. Q4 capex \$22.1B.

Forward guide

- Q1 2026 revenue guided to \$53.5B to \$56.5B with a 4% currency tailwind.

- First full-year 2026 guides: expenses \$162B to \$169B and capex \$115B to \$135B, nearly double 2025.
- Operating income still guided above 2025 despite the spend.

Hedges and concerns

- Legal and regulatory headwinds in the EU and US, with trials scheduled this year that may result in a material loss.
- Reality Labs losses expected to stay near 2025 levels before improving.
- Currency tailwinds fade later in 2026 and EU ad changes may bite.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- The stock came in about 17% below its October record. The Q3 capex warning had knocked it down and it had not recovered.
- The whole Street was waiting for one number, the first full-year 2026 capex guide, with bulls fearing it would confirm a free cash flow squeeze.
- Ad checks for Q4 were strong, so the revenue side was expected to deliver. The debate was entirely about spending.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 28 January 2026 – hold at 3.50–3.75% after three cuts in 2025. Released 2pm ET the same day as this print, ahead of the after-close release.
- **Stance read:** Hawkish hold: two of twelve voters dissented, preferring a quarter-point cut.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. “We are now seeing a major AI acceleration” – Zuckerberg, prepared remarks.
2. “Sales of our glasses more than tripled last year” – Zuckerberg, prepared remarks.
3. “30% increase in output per engineer since the start of 2025” – Li, prepared remarks.
4. “WhatsApp paid messaging crossed \$2 billion annual run rate” – Li, prepared remarks.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.50

Rationale. Revenue landed near the top of the guide, free cash flow stayed strong and the first 2026 capex guide, while enormous, came with operating income still guided above 2025. The feared numbers arrived with reassurance attached.

2 Directional signal

Signal: BUY

Rationale. The stock had already fallen about 17% bracing for this guide. When the bad news is pre-priced and the delivery is strong, the pressure releases upward. BUY.

3 Structured summary

- **Advertising and engagement.** Delivered at the top of the range.
- **AI and capex.** Huge but no worse than feared, and profit still guided up.
- **Margins and cash.** Free cash flow held up despite the spend.
- **Forward guide.** Reassuring on the line that mattered most, operating income.

4 Evidence quotes

1. “*We are now seeing a major AI acceleration*” – Zuckerberg, prepared remarks (AI).
2. “*Sales of our glasses more than tripled last year*” – Zuckerberg, prepared remarks (new devices).
3. “*WhatsApp paid messaging crossed \$2 billion annual run rate*” – Li, prepared remarks (new revenue).

— SEALED —

Overnight move and call verification

META close, 28 January 2026 (release day)	\$668.73
META open, 29 January 2026	\$737.43
Overnight move (release close → next open)	+10.27%

Call verification

- HOLD band test: $|+10.27\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **BUY**, matching the correct call, so the call was **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+10.27%
D+1 close	+10.40%
D+3 close	+5.63%
D+5 close	+0.04%
D+10 close	−0.01%
D+20 close	−1.75%